

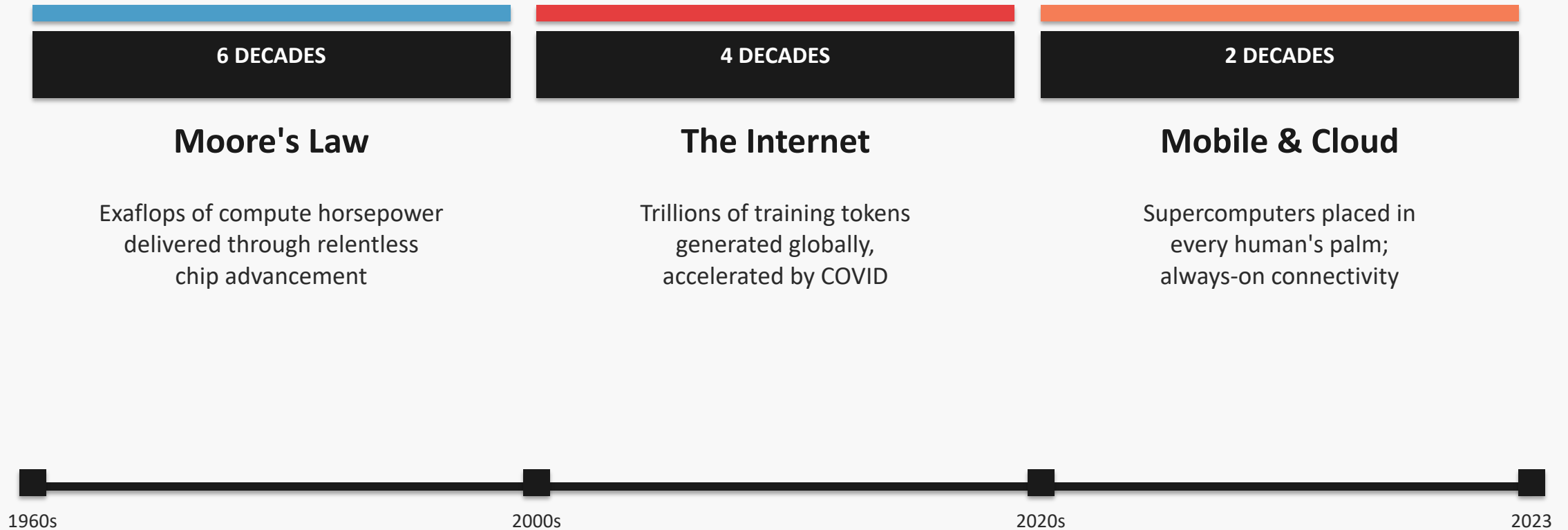
Generative AI's Act Two:

From Technology Hammer to Real Value

Sequoia Capital

Sonya Huang, Pat Grady & GPT-4 | September 2023

Six Decades of Technological Progress Converged to Enable Generative AI



ChatGPT's launch ignited a Cambrian explosion of AI innovation — every company became an 'AI copilot.'

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

in startup revenue

vs. years for SaaS

ChatGPT

Fastest-growing application in history; strong PMF among students & developers

Midjourney

Hundreds of millions in revenue; team of just 11 people

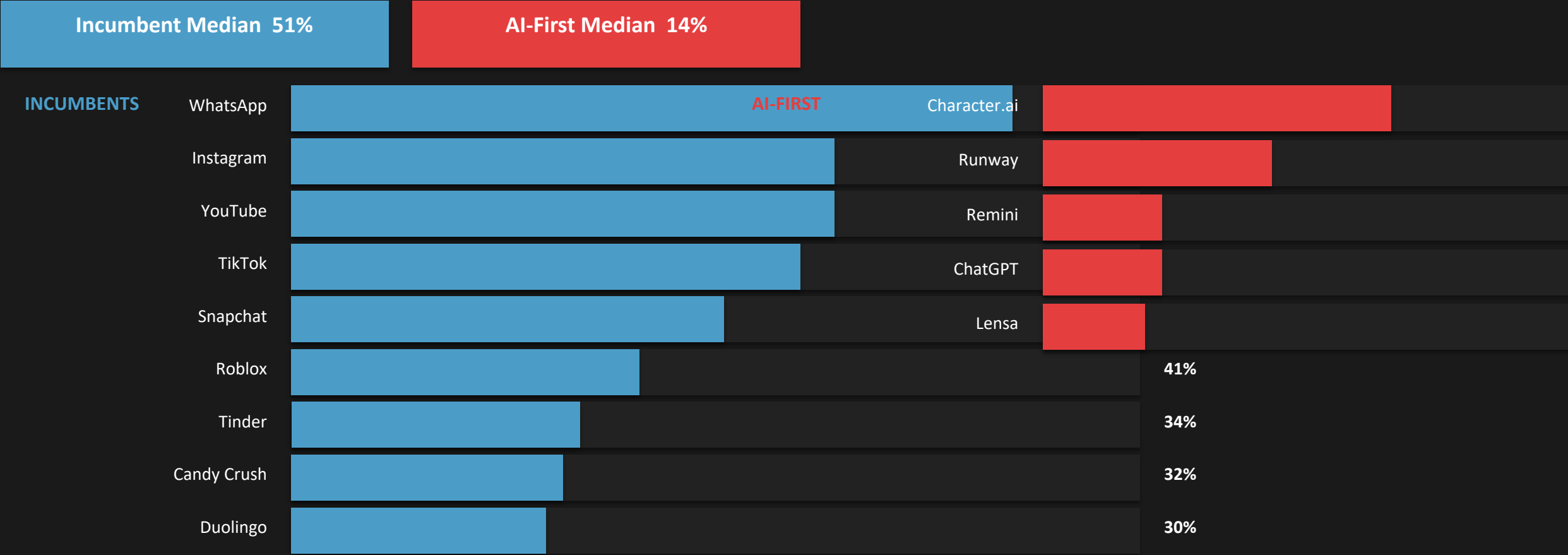
Character.ai

Users spend an average of 2 hrs/session; AI entertainment & companionship

Real demand exists — but many AI companies still lack sustainable competitive advantage.

The \$1B+ revenue milestone proves commercial traction despite hype-cycle skepticism.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

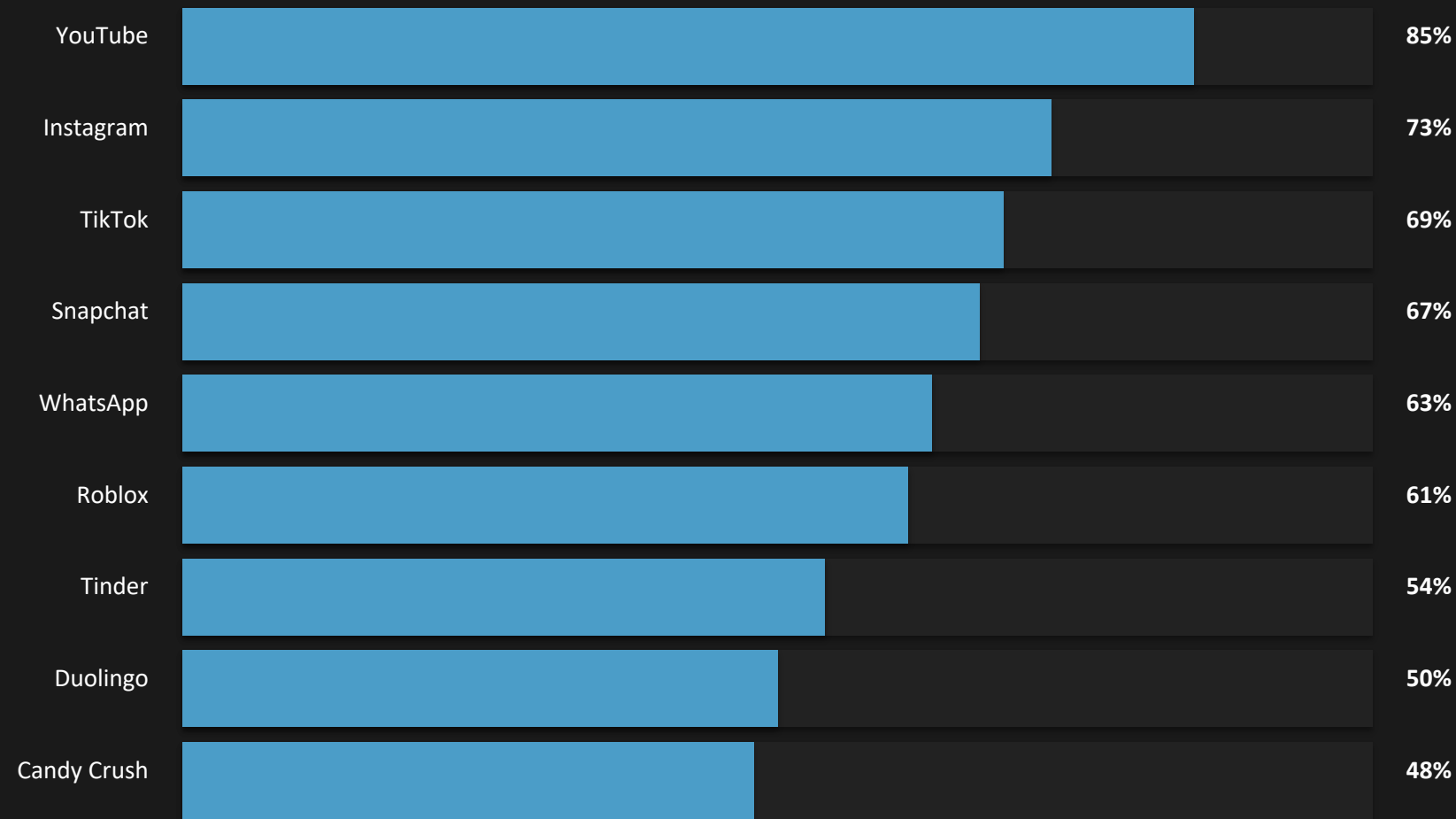


3.6x

retention disadvantage for AI-first apps vs. incumbents. Character.ai is the outlier at 41%, approaching incumbent levels — companionship may be AI's strongest consumer use case.

YouTube Leads Incumbents at 85% Monthly Active Usage

Median 63%



Incumbents set a high engagement bar. AI apps must build genuine utility — not novelty — to compete.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1 — Technology-Out

Foundation models as the entire solution

Novelty demos; cool but not sticky

Lightweight wrappers; thin product layer

Poor retention; users churn after trial

Build it and they may not come

ACT 2 — Customer-Back

Foundation models as a piece of the solution

New editing interfaces; workflow stickiness

Multi-modal, end-to-end workflows

Solve human problems completely

Build it and they stay

ACT 2 EXEMPLARS:

Harvey

Custom LLMs for elite law firms

Glean

Crawling & indexing workspaces for
enterprise AI

Character

AI entertainment & companionship

Ava

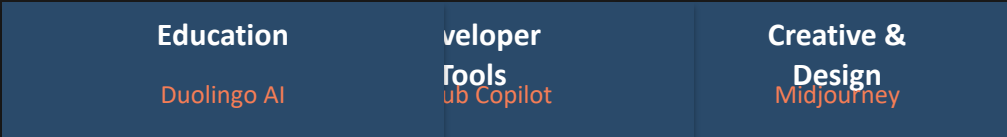
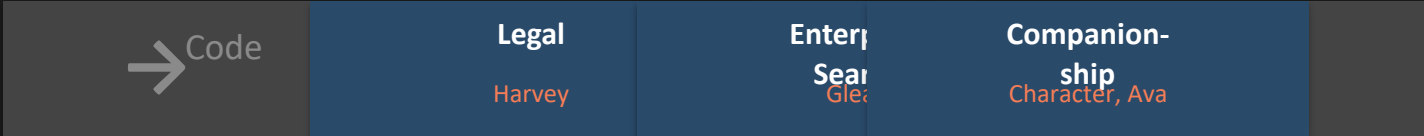
Digital companions

Market Map Reorganized by Use Case, Not Model Modality

ACT 1: Organized by Model Modality



ACT 2: Organized by Use Case



The shift from modality to use case reflects AI moving from technology hammer to real value delivery.



Foundation models become components, not the whole product



Multi-modal workflows replace single-mode demos



End-to-end solutions replace thin wrappers



Use-case focus enables sustainable competitive advantage

Key Takeaways: What Separates Winners in Act Two

01

Retention is the critical challenge

AI-first apps at 14% median vs. 51% for incumbents — a 3.6× disadvantage. Build for stickiness, not novelty.

02

Foundation models should be a component, not the whole product

The winners treat LLMs as infrastructure, not the product itself. Think integration, not imitation.

03

Multi-modal, workflow-integrated solutions win

New editing interfaces and end-to-end workflows create the stickiness that thin wrappers lack.

04

\$1B+ revenue proves real demand despite hype

ChatGPT, Midjourney, and Character.ai show the market is real — but competition for retention is fierce.

05

Solve end-to-end human problems to define Act 2

Harvey (legal), Glean (enterprise), Character & Ava (companionship) show the path: customer-back, end-to-end.